Aligning Real Estate with Modern Healthcare Delivery

Aspect Health is an emerging leader in healthcare real estate, dedicated to transforming how real estate supports modern care delivery. Our core mission is to bring clinical strategy and the built environment into alignment, recognizing that real estate is not merely a passive vessel but critical infrastructure that enables care. We believe that when real estate is aligned with care delivery the results are better outcomes, improved patient and provider experience, and stronger operations, which ultimately also serves to drive superior investment performance for our capital partners.

The Disconnect: Real Estate and the Modern Healthcare Consumer

The healthcare landscape is evolving rapidly, with a significant and accelerating shift towards outpatient care. However, traditional healthcare real estate has largely failed to keep pace with these changes. Historically designed for lower acuity, administrative models, many existing facilities are not aligned with the needs of today's ambulatory-based, patient-centric care delivery models. This misalignment manifests in several critical ways:

- **Brand Representation:** Existing real estate often fails to reflect the modern brand and values of health systems.
- **Provider Workflows:** Inefficient layouts and environments contribute to provider friction and burnout, hindering optimal workflows.
- **Patient Loyalty:** Suboptimal environments negatively impact the patient experience, potentially leading to reduced loyalty and poor outcomes.

Our fundamental thesis is that healthcare real estate, when done correctly, should be frictionless—so seamlessly integrated that providers, tenants, and patients don't even need to think about it. If they are, it can signal a deeper misalignment that can inhibit care.

Rethinking the Patient and Provider Experience

At Aspect Health, we believe the patient and provider experience doesn't begin in the exam room; it starts the moment a patient arrives on-site. This journey is intricately interwoven with the parking areas, common spaces, and wayfinding. By the time a patient reaches their exam office, their perception of care has often already been cemented. Our research-informed design study, conducted with Gensler, underscores this critical point, revealing that 23% of patients will decide whether to return to a facility based solely on their pre-visit interactions and first impressions of the exterior. This highlights the profound impact of elements like intuitive wayfinding, ample air and natural light, and accessible design on the overall care experience. Our goal is to reduce provider friction and burnout while simultaneously improving patient experience and access through thoughtfully designed spaces.

Our Unique Advisory Approach and Value Proposition

The escalating costs of new construction and fit-outs have made it increasingly difficult for healthcare tenants to justify ground-up development. Over the last five years, new construction rents have widened by 80% relative to in-place rents, compelling many tenants to seek solutions for optimizing their existing facilities. Aspect Health differentiates itself through its ability to unlock substantial value in existing healthcare assets, value often overlooked or inaccessible to traditional operators, through our specialized approach to aligning the role of real estate with modern care delivery. We focus on making structural lease changes and targeted improvements to existing

assets, transforming them into healthcare environments that meet the long term clinical needs of our tenants.

Our approach is deeply rooted in an advisory model, treating our tenants as true partners. We work collaboratively to identify and address perceived issues within their properties, whether it involves enhancing signage and wayfinding, implementing building improvements, refreshing existing spaces, or strategically managing lease renewals and extensions. We speak the language of healthcare providers and operators, fostering trusted relationships with leading health systems and physician groups, including Montefiore, Northwell, Stamford Health, Yale, and Hartford HealthCare. We aim to redefine the role of a real estate partner, moving beyond transactional relationships to genuine, long-term collaboration.

This commitment extends to our unique specialization in "healthcare hospitality." Through proactive asset and property management, we ensure that the real estate feels frictionless for our tenants and their patients. By anticipating and addressing their needs, we empower healthcare providers to focus on delivering exceptional care without the distractions of misaligned infrastructure.

Investment Performance Through Alignment

Crucially, Aspect Health's approach ensures that care delivery goals and investment performance are no longer at odds; in fact, they become intrinsically aligned. Our thesis is that investment performance demonstrably improves when the physical real estate is strategically aligned with healthcare delivery and clinical objectives.

This alignment yields tangible benefits for investors:

- **Higher Renewals & Longer Lease Terms:** Happier tenants are more likely to renew leases and commit to longer terms, ensuring predictable income streams and contributing to compressed cap rates by enhancing asset stability and attractiveness.
- **Improved Patient Outcomes:** Superior patient experience and reduced provider friction contribute to better clinical outcomes. This influence on care outcomes and the patient experience can be especially beneficial in a value-based care environment, as it incentivizes getting it right the first time and potentially reducing readmissions, thereby enhancing the reputation and profitability of the facility.
- **Strategic Partnerships:** Our collaborative approach fosters deeper relationships with tenants, opening doors for additional partnership opportunities and future growth.

Furthermore, our model offers inherent ESG (Environmental, Social, and Governance) benefits. By focusing on renovations or repositioning's of existing assets rather than on ground-up development, we significantly reduce emissions. Socially, we improve access to high-quality outpatient care across the socioeconomic spectrum, restoring patient dignity through thoughtful, care environments.

In essence, Aspect Health is committed to making healthcare more accessible, functional, and effective through real estate that works in service of care delivery. Every decision is rooted in aligning the built environment with clinical outcomes and institutional goals, creating lasting impacts for communities, health systems, and investors. We embrace innovation in healthcare delivery, continually rethinking infrastructure to meet modern care demands, understanding that real estate isn't neutral—it either advances or inhibits care.

Aspect Health exists to ensure it advances it.